

JB_I_PITCH_DECK_20260825

PITCH — JBI — VERDICT

PROPOSED — PENDING ADJUDICATION — No position today at \$5.11; arm a \$4.60 limit for a 0.25% starter, stood down through the 10/29 print, on a novel kill: the broken channel is commercial metal-building doors, not self-storage, and nothing external measures it.

What we believe

Janus makes and installs the doors, hallway systems and locks that go into self-storage facilities, plus sheet doors that go into commercial pre-engineered metal buildings. The stock is \$5.11, down 53% from its 52-week high of \$10.80 and up 20% from its low of \$4.26. There are ~136.4M shares out, so the equity is worth ~\$697M. Cash is \$127.0M against \$550.8M of gross debt, so net debt is ~\$424M and enterprise value is ~\$1,121M. On the roughly \$150M of adjusted EBITDA we are willing to underwrite, that is **7.5x** — and about 2.8x net leverage, at the top of the company's own 2–3x target.

Three things we think are true and not widely stated:

1. The self-storage business is not what broke. The 10-Q discloses revenue by channel. Back out the Kiwi II acquisition (closed 2026-01-08, contributed \$37.3M in the first half and \$19.2M in Q2, and it sells self-storage steel buildings so it lands in new construction) and the picture inverts: new-construction self-storage was **-0.1%** organically in Q2, the restore/rebuild/replace channel was **+6.6%**, and “commercial & other” was **-21.2%**. Across the first half, commercial accounts for **-\$19.0M of a -\$19.7M total organic decline — about 96% of it**. Management names the culprit on the call: sheet doors into pre-engineered metal buildings, “the biggest drag.” Everyone — including both of our own benches on first pass — was pricing a self-storage cycle story.

2. The cost base is not variable. Q2 gross profit was \$80.3M (34.4%) against \$93.2M (40.9%). Even crediting the acquisition with a 5% gross margin — generous, since it lost \$3.8M on \$19.2M of revenue — organic gross profit fell about \$15M on about \$14M of lost organic revenue. That is a **93–101% decremental margin**. Costs are not coming out as fast as revenue is going away, which is a structural fact for any downturn of realistic length, not a temporary absorption issue.

3. Capital allocation went the wrong way into the trough. Cash fell \$194.4M → \$127.0M, debt was flat, and \$97.2M went to Kiwi II. Net debt rose roughly \$65M this year. Meanwhile the buyback ran \$15.7M (2.86M shares) in Q1 and then collapsed to **\$1.9M (367,096 shares)** in Q2 as the stock fell to ~\$5 — while the CFO called the price “very attractive” on the call. \$63.1M of authorization sits untouched at the low.

Put together: the multiple is genuinely low, the healthy 72% of the business is holding, and the number underneath the multiple is still falling in a channel nobody is tracking. That is a real opportunity at the right price. \$5.11 is not the right price.

What the market believes

Coverage is thin but real — 5 to 8 analysts. Going into the 8/11 print, consensus for FY26 was **\$957.3M of revenue and \$0.36 of EPS**. Management then guided to **\$925–945M including \$80–90M of acquisition revenue** — i.e. the pre-print consensus was *above* the new guide. UBS moved to neutral and cut its target from \$6.00 to \$5.60, which is 9% above today's tape.

So the market's position is roughly: “the cut is done, the storage cycle is bottoming, the multiple is low, wait for the turn.” The stock has already bounced 20% off its low on that reading. The Street is marking the midpoint of the guide; we are underwriting the low end. Nobody in the published work we can see has decomposed the channel data.

This is a *measured* name, not a crowded one — which means low coverage is a timing input, not a reason to believe we see something others cannot.

Why we might have edge

The edge is one table in one filing, read against a press release nobody links to it.

The 10-Q's revenue disaggregation splits new construction, restore/rebuild/replace, and commercial & other. The Kiwi II acquisition press release tells you the acquired business sells **self-storage** steel buildings, so its \$37.3M has to be subtracted from *new construction*, not spread across channels. Do that subtraction — which requires holding two documents at once — and the stated cause of the guide-down dissolves. The storage franchise is flat. The break is a smaller, different end market with a different driver.

The second edge is negative and just as useful: **the external data everyone cites validates the wrong thing**. The storage-starts series (down ~21% from peak) measures the channel that is currently fine. The channel that is actually collapsing — non-residential pre-engineered metal buildings — has no anchor in anyone's brief, including ours. Under our own rule that a mispricing is only real when checked against an independent measure of the *same* event, this thesis currently has no anchor at all. That is the finding, not a footnote.

Third, and smaller: reported revenue is *growing*. FY25 was \$884.2M; the first half was \$456.2M vs \$438.6M, +4.0%; the guide midpoint of \$935M is +5.7%. All of that growth is acquired, while adjusted EBITDA falls ~18%. A company buying \$37.3M of near-zero-margin construction revenue for \$97.2M cash while its core margin compresses is making a capital-allocation statement, and the reported top line hides it. That masking ends mechanically on 2027-01-08 when the acquisition laps.

Why it might be priced in

Honestly: a lot of it might be.

- **The stock is already down 53% and the guide was already cut nine days ago.** “Cheap after a cut” is the most common false edge there is. We are not the first people to notice 7.5x.

- **UBS's \$5.60 target is only 9% above the tape** — the sell side is close to our own posture, which means our disagreement with the Street is about \$925M vs \$957M of revenue, not about the direction.
- **The commercial channel is 28% of the business and shrinking.** If it goes to zero it costs maybe \$60M of revenue at low margin. The market may simply be netting that against a flat 72% and arriving at the same 7.5x we did.
- **Our EBITDA number may be too low.** We underwrite \$150M, the guide's low end, and both benches did the same. Our own experience is that conservative fair-value work runs roughly 13% light because two or three cautious assumptions compound. If the honest number is \$165–170M, then today's \$5.11 is already 6.6–6.8x and our \$4.60 band never fills — we would miss a cheap, cash-generative, cycle-levered operator to save 10%.
- **A named self-help bridge exists that we did not test.** Management describes factory consolidations, optimizations, and resource realignment producing “a sequentially stronger back half.” Our red bench asserted “no mechanism — market improvement assumed”; that is half wrong. No *market* improvement is assumed, but a cost bridge is, and neither bench sized it.

What could go wrong

Failure narrative 1 — the commercial channel keeps going and takes the guide with it (tripwire exists). Commercial & other went from –2.5% in Q1 to –21.2% in Q2. If Q3 prints –25% or worse, the low end of the guide fails too, management cuts again on 10/29, and \$4.60 becomes the *first* stop rather than the floor. We would have filled a limit order into a gap and be sitting on 7.0x of a number that is now \$130M, i.e. 8.1x. **Monitorable:** the Q3 10-Q channel table; secondarily, non-residential metal-building starts and shipments, which we do not currently pull.

Failure narrative 2 — the storage leg breaks after all (tripwire exists, and it is management's own words). The company's full-year guide says North American organic self-storage is down high single digits. The first half was –0.6%. If that guide is literal rather than stale, the second half of storage has to deteriorate sharply — which makes the total guide *harder* than even the bear case argued, and removes the one genuinely good datum in this thesis. **Monitorable:** same table, and management's framing on the Q3 call. This fork is unresolved and is the single largest open question in the deck.

Failure narrative 3 — NO MONITORABLE TRIPWIRE: the balance sheet and the next deal. Net debt rose \$65M into a downcycle, leverage is at the top of the stated band, the buyback was throttled to almost nothing, and **no bench read the credit agreement.** We have no covenant terms, no step-down schedule, no revolver headroom netted against outstandings. We also have no customer concentration data — the 10-Q read returned no >10% customer disclosure, and the detector that would triangulate this via shipping records was never run, even though the +6.6% restore/rebuild channel plausibly rests on one or two large storage REIT accounts. If there is a springing covenant test, or a lost anchor customer, or another Kiwi-sized acquisition announced on a Tuesday morning, the equity reprices for a reason that has no precursor we could have watched.

The unknown-unknown class here is **facts that exist only inside documents we have not read and events that are announced rather than developed**: credit agreements, customer contracts, letters of intent. For this class the first observable is the 8-K itself. You cannot build a sensor for it; you can only size for it, and refuse to be large before you have read the debt documents.

The reflexive and structural leg.

- *Our own size versus liquidity*: 0.25% of book is a trivial notional for a \$700M-cap NYSE name, so our footprint is almost certainly not the risk. But we should be plain that this is an assertion, not a measurement — the IBKR contract-search tool was **permission-denied to all three benches**, so we have a price with no average daily volume behind it. We are sizing against an assumption.
- *We would be bidding into flow we ourselves forecast*. This is the sharpest structural problem in the deck and neither bench raised it. Our thesis says a second guide-down on 10/29 is live. Our band is \$4.60. A resting good-till-cancelled order at \$4.60 through that print will fill **on the gap created by the exact event we are predicting** — we become the liquidity provider to our own forecast, and a resting bid through an earnings date is an unintentional short volatility position. Two of our standing rules bite here: never bid into your own predicted flow, and no resting order through a catalyst. The band must come down before 10/28's close and be re-placed only after we have read the channel table.
- *Doctrine cutting both ways*. Our rule that a clean court with only a consensus objection ("they guided down") owes a minimum starter does **not** rescue a buy here, because two genuinely novel objections are named — the channel misattribution and the >90% decremental. FLAT is earned rather than defaulted to. But our conservative-fair-value rule cuts the other way and says our \$150M is probably light, which argues the \$4.60 band is too greedy. And there is no integrity flag on this name, so we are not capped below fair value — the only thing standing between us and ownership is price.

If this position loses money, the most likely reason will be that we bought a cheap multiple on an EBITDA number that was still falling — filling at \$4.60 on the 10/29 gap, into the second guide-down we ourselves forecast, and discovering that 7.0x on \$150M was really 9x on \$115M.

What we checked ourselves

Claim	How checked	Found	Confirmed?
The 8/11 guide-down already priced the bad news	Backed the disclosed \$80–90M acquisition revenue out of the \$925–945M guide; compared implied H2 organic to the Q2 exit rate	Entirely dependent on which end of each range you pick. Our red bench took both midpoints and got "the guide needs an inflection." At the guide's low end with the high end of acquisition revenue you get –6.6% — exactly the Q2 exit rate, no inflection required	NO — our own bench error. Red's finding #1 contradicted its own finding #5, which argued we should underwrite the low end. The "fatal" tag was struck
Organic revenue is decelerating (–2.8% Q1 → –6.0% Q2)	XBRL quarterly revenue, two-year stacked comparisons	A base effect. Q1'25 was –17.3%, Q2'25 only –8.2%. On a two-year stack Q2 (–13.7%) is <i>better</i> than Q1 (–19.6%), and	NO — our own bench error. Red read a comparison artifact

Claim	How checked	Found	Confirmed?
		organic revenue rose sequentially \$204.6M → \$214.3M (+4.7%)	as a second derivative
Cost base is not variable; decremental margin >100%	10-Q gross profit table, using the acquisition's actual disclosed Q2 loss (\$3.8M on \$19.2M) instead of an assumed 15% gross margin	93–101%, not 114%. Magnitude overstated by roughly 25%; direction and conclusion stand	Direction yes, magnitude no
The self-storage cycle is what broke	10-Q revenue-by-channel table with the acquisition backed out of new construction	Storage is organically flat (new construction –0.1%, restore/rebuild +6.6% in Q2). Commercial & other –21.2%, ~96% of the H1 organic decline	NO — both of our benches had the wrong cause. The break is commercial sheet doors into metal buildings
Storage-starts data (–21% from peak) validates the discount	Same-event anchor test	It anchors the channel that is currently fine. The collapsing channel has no external anchor in either brief	NO — bench error. Red accepted the anchor without challenge; the strongest leg went unprosecuted
Management is supporting the stock with buybacks	10-Q plus XBRL repurchase data	Q1 \$15.7M / 2.86M shares; Q2 collapsed to \$1.9M / 367,096 shares as the stock hit ~\$5. \$63.1M authorization untouched. Share count actually rose slightly as stock comp offset repurchases	Partly. Year-to-date 2.3% of shares were retired, so red's "unused option" overstates it; the Q2 throttle against a CFO calling the price "very attractive" is real
Balance sheet arithmetic	10-Q	Cash \$127.0M, gross debt \$550.8M, net debt ~\$423.8M, ~2.8x. EV ~\$1,121M = 7.5x on \$150M	Yes, but red's \$418M netted deferred financing fees and its \$545M gross debt figure was wrong (immaterial to the conclusion)
Trailing free cash flow ~\$82.5M	Nobody ran it	Plausible; never verified by any of the three benches	NO — unchecked
The 8/17 insider filings are a signal	Read the Form 4 XML directly	Code F — shares withheld for taxes on an 8/15 vesting, 2,832 shares at \$5.11. Neutral, neither buy nor sell. It also independently corroborates our \$5.11 mark	Yes (neutral). Red left the direction unread and flagged it as an open gap; blue closed it
Nokē smart-entry momentum (+22.5% installs, 500k)	App-review velocity detector	Detector resolved the app (lifetime rating 4.885) but returned no velocity and no Play Store package. The claim remains company-stated only	NO — unverified

Claim	How checked	Found	Confirmed?
Factory thermal signature confirms a deepening volume collapse	Plant thermal detector	Signature is <i>rising</i> (+0.25 °C/yr), and the series only covers March–April 2025 — useless for the 2026 period the thesis turns on. Site attribution (HQ vs fabrication building) unresolved	NO — does not support the bear, and is stale
We can size against real liquidity	IBKR contract search	Permission-denied to all three benches. We have a gateway price and no volume data	NO — systemic tool gap
Detector dispatch was clean	Reviewed the fired/not-fired list	Three consumer-facing detectors (beauty velocity, beauty virality, consumer product heat) dispatched onto a B2B steel fabricator. Harmless here, but it is a matcher-precision defect worth logging	NO — infrastructure finding

PROPOSED ENTRY BANDS

No entry at \$5.11. Flat today. The reason is not “it went down and might go down more” — it is that the channel doing the damage has no independent measure, and we are being asked to buy 20% off the low into a print we expect to be bad.

Primary band — \$4.60 limit, 0.25% of book. \$4.60 puts enterprise value at ~\$1,051M, or **7.0x on the \$150M EBITDA we actually underwrite** — i.e. it pays today’s multiple for our number rather than the Street’s. It is 10% below spot and 8% above the 52-week low. This is a starter, not a position.

Order handling — the band must not rest through the print. Place it now, cancel it at the close on **2026-10-28**, and re-place only after reading the Q3 channel table. A resting order at \$4.60 through 10/29 fills on the gap from the second guide-down we ourselves predict; that is selling volatility by accident. This constraint is our addition, not the benches’.

Upgrade to a full starter (0.5–1.0% of book): only on Q3 evidence that commercial & other is declining **less than 10% year over year**, with the acquisition contribution disclosed separately. That is the single condition that converts this from a cheap-looking cyclical into an ownable one. Sizing range is the standard first tranche for a fairly-priced name, our extension of the benches’ “full starter.”

Second rung — \$4.00 (~6.4x), conditional. Only if the Q3 table shows commercial stabilizing. If commercial is *worse* and the stock is below the 52-week low, do not average down: at that point the denominator is in question, not the multiple, and the correct action is to re-court the name from scratch.

Trim/exit logic (for the position we do not yet own): absent an EBITDA upgrade, ~\$6.50 is roughly 8.7x on \$150M and is where a starter bought at \$4.60 should be reduced. Any exit will need a tax-lot check for holding period before it is placed.

Catalyst dates: - 2026-10-29 — Q3 print. This is derived from a data vendor and is **not confirmed by any company announcement**. It must be confirmed against a company press release before any order timing depends on it. ~46 trading days out. Last print, 2026-08-11, is confirmed on EDGAR. - **Q3 10-Q, filed within days of the print.** The revenue-by-channel table is

the decisive document, not the release headline. - **2027-01-08 — the acquisition laps.** From this date reported revenue growth is no longer flattered by Kiwi II, and organic performance becomes visible in the headline. Dated and certain. - **FY27 guidance, with the Q4 print (roughly late February 2027, unconfirmed).**

Fair-value note: no integrity or disclosure flag exists on this name, so we are not capped below fair value here — the constraint is purely price.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 4.26 (deck-provisional: 52-week low breached — denominator in question, re-court rather than average down)
- filing watch: 10-Q until 2027-02-21 (deck-provisional: Revenue-by-channel disaggregation with acquisition contribution split out — the one table that decides)
- dated pack JBI|2026-10-29: JBI: Q3 2026 print — vendor-derived date, must be confirmed against a company press release (date confirmed=False)
- dated pack JBI|2027-01-08: JBI: Kiwi II acquisition laps; reported revenue growth stops being flattered by M&A (date confirmed=True)
- dated pack JBI|2027-02-25: JBI: Approximate Q4 print and FY27 guidance — date not confirmed (date confirmed=False)

What remains unverified

- **Trailing free cash flow of ~\$82.5M.** Cited by both benches, checked by neither. An 11.8% free cash flow yield on the current market cap is doing quiet work in the bull case and rests on nothing.
- **Credit agreement terms.** No covenant schedule, no step-downs, no drawn/undrawn split on the \$125M revolver (stated as running to August 2028), no headroom calculation. We are asserting a 2.8x leverage ratio is comfortable without having read what the lenders think.
- **The second-half 2025 channel split is not disclosed,** so the commercial run-rate cannot be projected against a dated base.
- **The storage guidance fork.** Management's full-year guide implies North American organic self-storage down high single digits; the first half was -0.6%. Either the guide is stale or storage deteriorates sharply in the second half. Unresolved, and it is the trigger to re-run this court.
- **No external anchor for the commercial/metal-building channel.** The permit detectors returned nothing usable, and the one city query run required an address or entity name we do not have. A single city would not have confirmed anything anyway.
- **Liquidity and average daily volume.** Contract search was permission-denied to all three benches — a systemic tool gap, not a JBI-specific one.
- **The Nokē smart-entry install growth claim** is company-stated only.

- **Plant thermal data covers March–April 2025** and cannot speak to 2026; site attribution between headquarters and fabrication buildings is unresolved.
- **OSHA establishment data** was never queried for the Temple, Georgia plant or the acquired Temecula, California site.
- **Customer concentration** — the 10-Q read surfaced no >10% customer, but that absence was not independently tested.
- **The 10/29 print date itself is unconfirmed.**

Primary sources: [10-Q for the quarter ended 2026-07-04](#) · [Form 4, filed 2026-08-17](#) · [XBRL revenue series](#) · [Q2 2026 results and outlook](#) · [Kiwi II acquisition announcement](#) · [Q2 2026 earnings call transcript](#)

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ADDENDUM — 2026-08-26 (adjudication)

ADJUDICATED: WAIT + ARMED BAND \$4.60 (instr #102, 565 sh, HARD cancel-by 10/27 — the band never rides the 10/29 print). Red's FATAL was a midpoint artifact (guide low-end × inorganic high-end reproduces the Q2 exit rate — no inflection needed). The kill was re-named and verified to the decimal at the PR channel table: the break is Commercial & other at −21.2% — PEMB sheet doors — NOT the self-storage cycle (NC organic −0.1%, R3 +6.6%). No desk feed anchors PEMB; that blindness is the residual risk. Full starter only at the print: Commercial better than −10% AND decremental <50%; worse than −20% or a second guide cut closes the file and kills the band. **Frozen call:** JBI-Q3COMM — Commercial YoY better than −10%, p=0.30, grades 10/29.